

No growth slowdown in sight

- **Key changes:** We've raised our 2026 growth forecast for Malta by 0.1ppt, reflecting data revisions that put the economy on a stronger footing. We've cut our 2026 inflation forecast by 0.3ppts to 2.5%, due to slightly weaker data early in the year and the sharp reduction in global energy prices following the announcement of the peace deal between the US and Iran. We've also upgraded our fiscal balance forecast, as government support for the economy should now prove less costly than we expected.
- **Short-term forecast:** We expect growth to slow in Q2 but to regain traction thereafter, as global geopolitical tensions gradually fade. Domestic demand will likely remain the main driver of growth, while net exports should provide stronger support in 2027.
- **What to watch out for:** The durability of the peace treaty between the US and Iran, and geopolitical tensions more broadly, remain the key near-term risk for the economy, particularly for the tourism sector. Ample government support should shield the economy against any renewal of geopolitical tensions and fresh spikes in energy prices.

Table 1: Malta forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	10.6	6.2	3.6	3.5	3.4	3.7
Private consumption	12.8	5.9	3.6	3.6	4.5	4.1
Industrial production	7.2	3.6	3.3	-0.4	0.9	2.8
Employment	6.7	4.8	3.8	2.6	2.7	1.9
Unemployment rate (%)	3.5	3.2	3.0	3.2	3.0	3.0
Government balance (% of GDP)	-4.4	-3.4	-2.2	-2.6	-2.2	-2.3
Gross government debt (% of GDP)	46.9	45.9	46.4	46.4	45.6	45.2
Current a/c balance (% of GDP)	6.7	7.2	8.2	6.9	5.7	5.6
Consumer prices	5.6	2.4	2.4	2.5	2.6	2.0
Bank's deposit rate (% EOP)	4.0	3.0	2.0	2.5	2.0	2.0
10yr govt. bond yield (% EOP)	3.1	3.2	3.6	3.8	3.9	3.9
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18
Exchange rate (euro per £, EOP)	1.15	1.21	1.15	1.12	1.10	1.10

Source: Oxford Economics

Baseline forecast

Recent developments

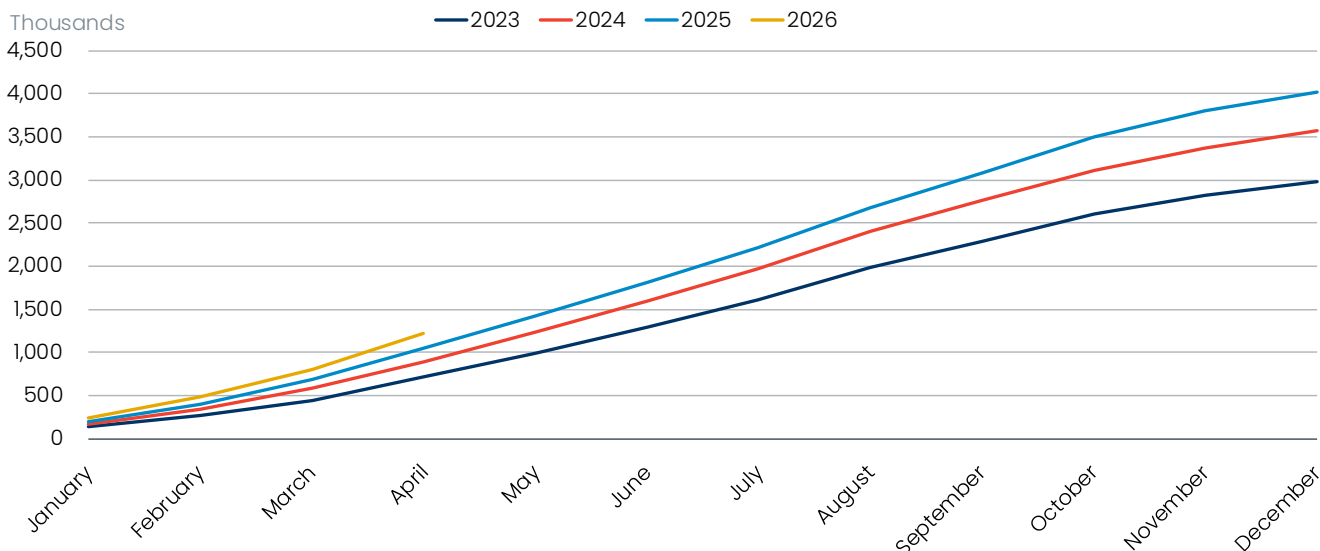
Maltese GDP grew by 1.1% q/q in Q1, supported by buoyant consumption, despite a significant drag coming from net exports. Investment dropped by 1.9% q/q, but the figure was in line with its volatile history, so isn't a reason for concern. The announcement of a peace treaty between the US and Iran has caused a marked drop in global energy prices, as well as some relief regarding short-term economic expectations. However, we think this is unlikely to bring major changes for the Maltese outlook. Energy prices are the key channel of impact for the economy, but the government is keeping them at 2019 levels, so the direct repercussions of the energy shock have been modest anyway. Still, lower import prices will somewhat reduce inflationary pressure, and we now expect inflation to average 2.5% in 2026, down 0.3ppts from our May baseline. The most important impact is likely to be on the fiscal deficit, as lower energy prices will reduce the cost of the government's relief measures.

High-frequency data have pointed to a slowdown in Q2, albeit with Maltese growth remaining above much of that of the Eurozone, and surveys up to April showed weakening momentum. Data for May aren't yet available, as the European Commission has suspended the release due to changes in partner institutions.

Global geopolitical tensions haven't clouded the tourism sector, as in April the number of departing tourists grew by 16.6% y/y, setting a new all-time high for the month. In the first four months of the year, 1.2mn of tourists arrived. Giving the current path, it's possible that this number will increase to 4.5mn for the whole year – remarkable growth from less than 3mn in 2023 ([Chart 1](#)).

Chart 1: The number of tourist arrivals is set to reach a new record high this year

Malta: Cumulative tourists arrivals



Sources: Oxford Economics, Haver Analytics

May's general election returned the incumbent Labour party and Prime Minister Robert Abela to power, albeit with a modest fall in their vote share. We expect this to preserve the fiscal status quo, with policy remaining moderately restrictive over the coming years.

Short-term forecast

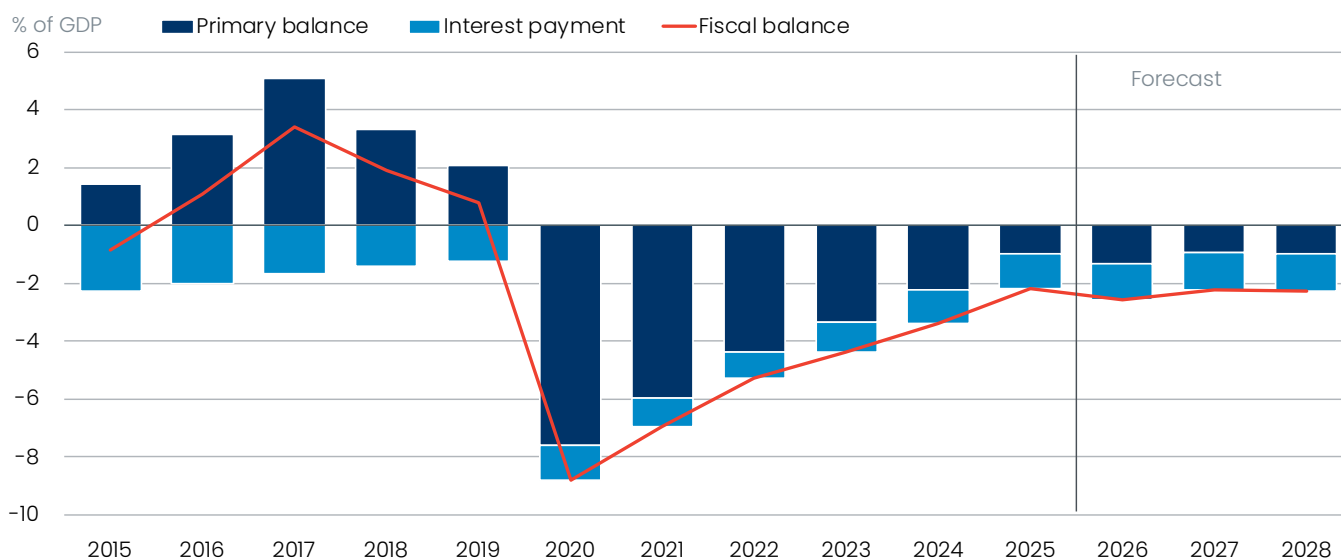
We've increased our 2026 GDP forecast by 0.1ppt to 3.5% – solid domestic demand growth will be the main driver of growth. A tight labour market and a steadily increasing labour force will support real incomes, boosting private consumption. Fixed investment should gain some traction after a disappointing 2025, when they stagnated. Monetary policy shouldn't be a major drag, as we now don't expect the ECB to increase rates further. Net exports should be neutral for growth.

Policy assumptions

Fiscal policy. Malta experienced one of the largest fiscal expansions in the Eurozone after the Covid pandemic. The fiscal balance remains in deficit, and we see it at 2.6% of GDP in 2026. But strong nominal growth means government debt will hover around current values throughout the forecast period. We expect moderately restrictive fiscal policy in the coming years.

Chart 2: We still expect primary fiscal deficits

Malta: Fiscal balance



Sources: Oxford Economics, Haver Analytics

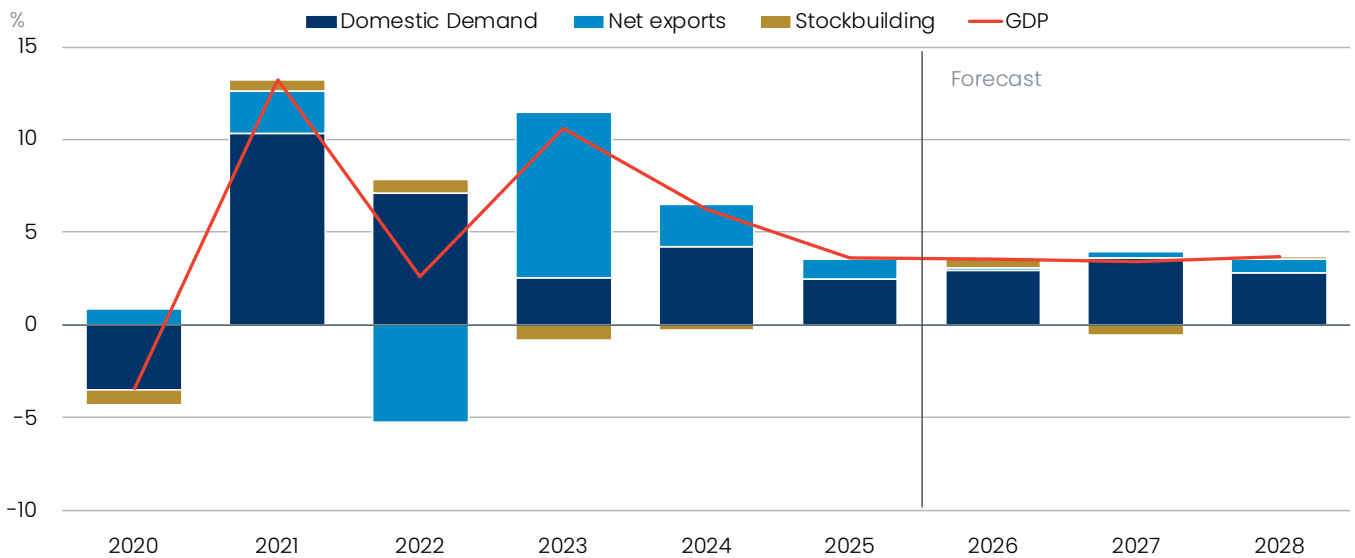
Monetary policy. The ECB raised its deposit rate by 25bps to 2.25% at its June meeting. With the conflict in Iran drawing to a close and energy prices falling sharply, we now don't expect further hikes. We look for the policy rate to be normalised to 2% in 2027.

Key drivers of short-term forecast

Solid labour market. Malta's labour market remains one of its key strengths. The unemployment rate ticked up to 3.5% in Q1 – still among the lowest in the Eurozone – but we see this as only a modest setback and expect the economy to return to full employment, with the unemployment rate easing back to 3%. Employment should keep growing, supported by a steadily rising participation rate and a buoyant demographic profile.

Chart 3: Domestic demand will be the main growth engine

Malta: GDP contributions

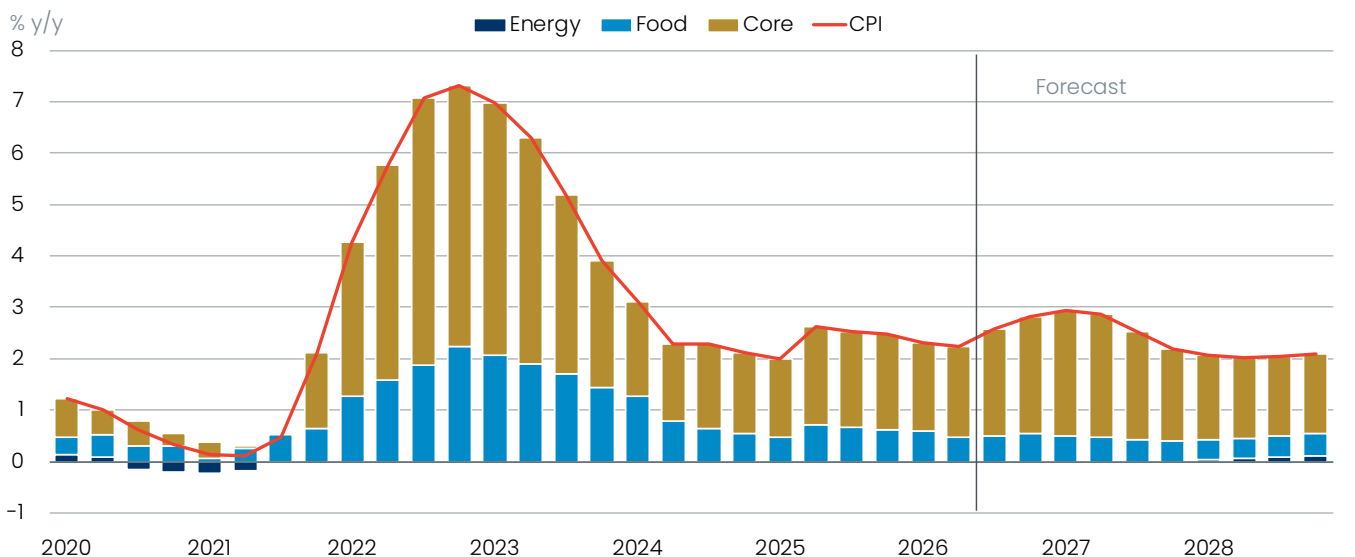


Sources: Oxford Economics, Haver Analytics

Inflation remains under control. Inflation has been broadly stable despite the Middle East war, with May inflation at 2.1% y/y, as the government's measures to keep energy prices stable partially shield the economy. However, given its status as small, open economy, Malta can't entirely avoid an inflationary surge in the face of a global energy shock, as happened in 2022. Thus, we expect a modest increase in the coming quarters, with the tight labour market fuelling additional inflationary pressure. We see inflation averaging 2.5% in 2026 and 2.6% in 2027.

Chart 4: Inflation should remain contained

Malta: Inflation



Sources: Oxford Economics, Haver Analytics

What to watch out for

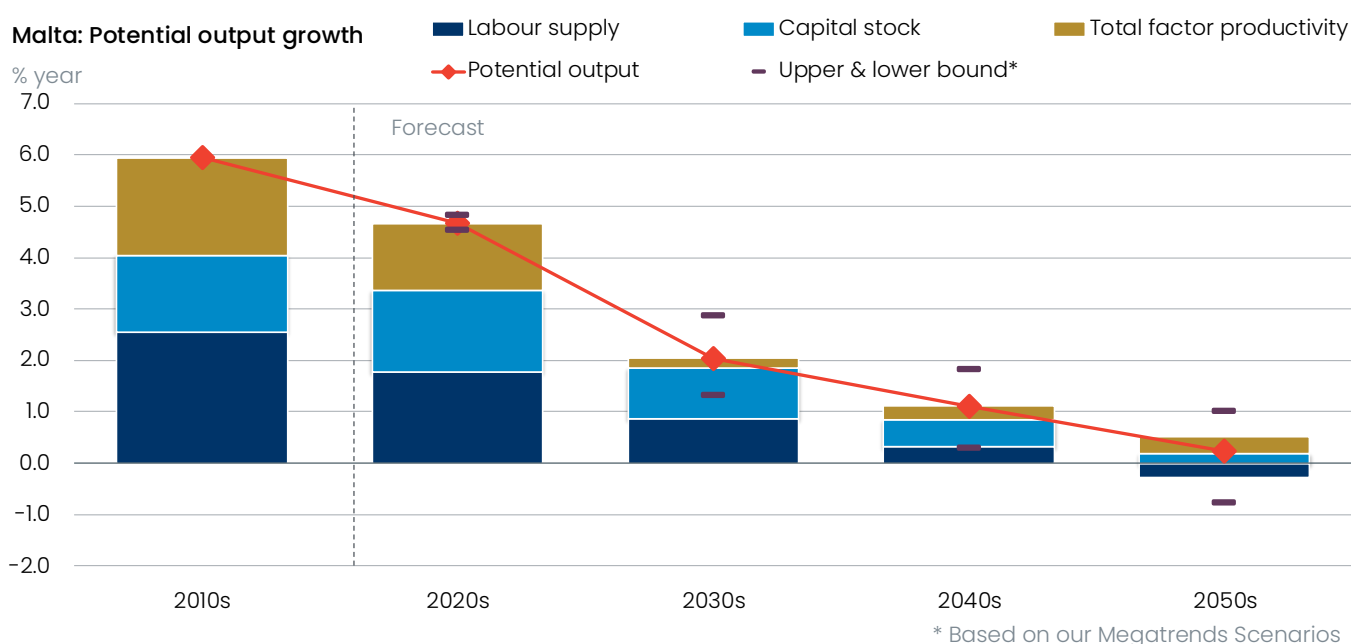
Financial services. Malta's economy leans heavily on financial services, online gaming, and related professional sectors. Although it exited the FATF grey list in 2022, the country remains under scrutiny over its anti-money-laundering enforcement and governance. Renewed reputational damage, or tighter EU-level oversight, could deter investment and weigh on a sector that underpins a large share of gross value added and tax revenue.

Population. Malta has recorded some of the fastest population growth in the EU, driven by foreign workers filling labour shortages. Although this has fuelled GDP growth, it has put housing, transport, water, and energy infrastructure under pressure on a small, densely populated archipelago. The sustainability of this model is a key risk: a sharp slowdown in inward migration would dent potential output, while continued reliance on it intensifies social and environmental pressures.

Long-term prospects

We expect Malta's potential growth to slow considerably in the coming decades, hampered by its structural limitations as a small island in the Mediterranean ([Chart 6](#)).

Chart 5: Demographics won't support potential growth



Sources: Oxford Economics, Haver Analytics

Labour supply, capital stock, and total factor productivity will be broadly equal drivers of potential growth, supported by AI developments. That said, we don't expect Malta to be among the countries receiving the biggest boost from the latter.

The capital stock will support growth at a diminishing rate, as we expect the depreciation rate (due to technological progress) to accelerate in the long run. Next Generation EU funding poses an upside risk to our forecast if it enhances the investment environment.

Human capital will contribute positively to growth, with the working-age population spending more years in education. However, this is no different to many other Eurozone and advanced economies, so we don't think it implies significant upside risk to our forecast.

Malta stands out as a Eurozone country without a demographic problem, yet. The working-age population continues to grow, and we project it to do so for the next 20 years, before it eventually declines as an ageing population and falling fertility rates come into play. With limited room for a further increase in the participation rate, labour supply will then drag on potential growth.

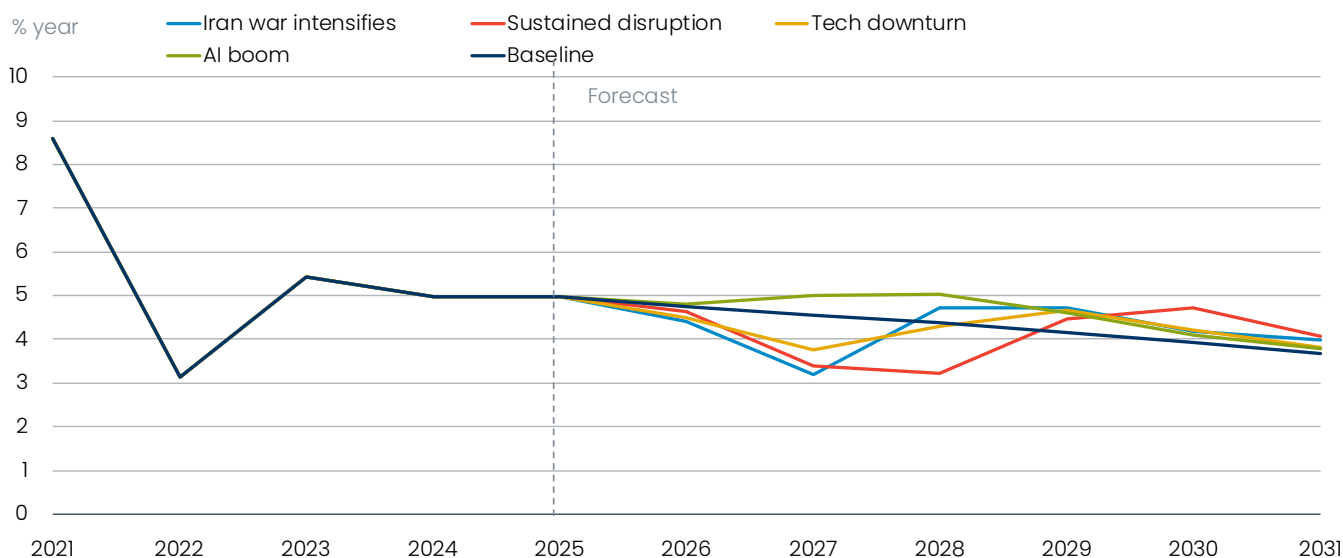
Scenarios

Exposure to key global risks

Prolonged US-Israel war with Iran. In this scenario, war proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Energy shortages damage activity, with some household spending delayed due to disruption to travel and shipping. Supply-chain pressures outside the energy sector result in broader price and cost pressures. Although inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. Over the next three years, Malta's GDP growth is 0.5ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 6: Several scenarios could result in lower growth than in our already muted baseline

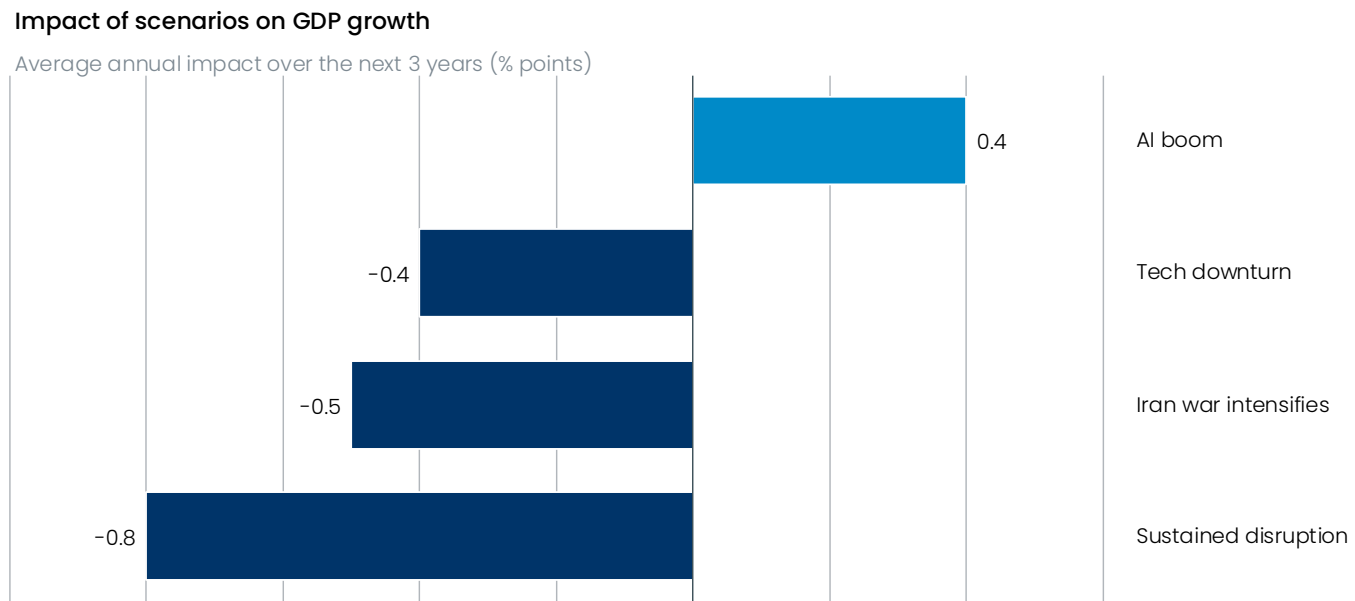
Impact of scenarios on GDP growth



Source: Oxford Economics

Tech downturn. The AI boom turns to bust in this scenario, with global growth slowing sharply under the weight of falling stock prices and investment. In financial markets, concerns rise over tech-sector valuations. US tech stocks fall by 25% in the first year of the scenario as a result. US growth grinds to a halt during 2026, despite increased Fed policy easing, as the recent surge in US capital expenditure abruptly ends. Falls in tech investment echo the weakness seen following the bursting of the dotcom bubble. US weakness spills over globally. The main impacts on Malta come via worsening sentiment and a weaker US dollar. Over the next three years, Malta's GDP growth is 0.4ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

Chart 7: Risks are skewed to the downside



Source: Oxford Economics

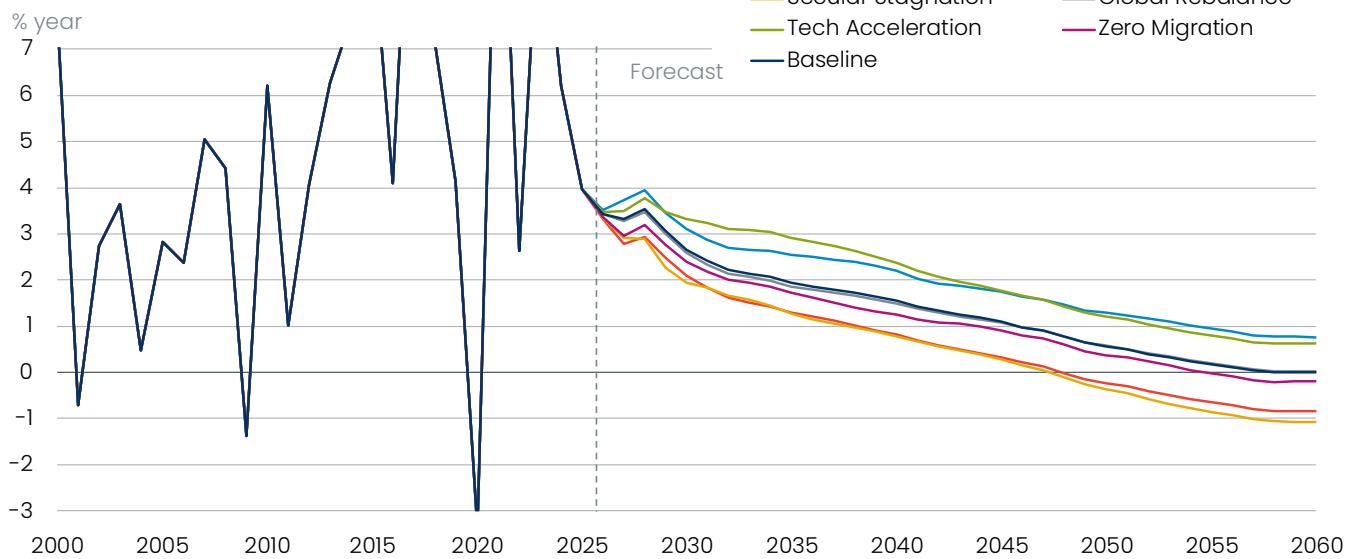
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run paths to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological acceleration. In this scenario, trade and geopolitical tensions ease. This boosts globalisation, creating greater technology flows. Technological advancements are also supported by higher investment and research and development spending, fostered by a more stable business environment. Sustained real wage growth increases labour market participation. Productivity and labour force growth are stronger, resulting in GDP growing by nearly 1ppt a year more than in our baseline forecast from 2030–2050. Nominal and real interest rates would also be higher.

Chart 8: Globalisation and technological progress are the main scenario drivers

Malta: GDP growth



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. Malta's GDP grows 0.8ppts below the baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.9	-0.2	34
Market demand	4.0	0.0	27
Market cost	5.0	0.0	65
Exchange rate	3.3	-1.2	46
Sovereign credit	3.1	-0.1	20
Trade credit	4.0	0.0	15

Source: Oxford Economics

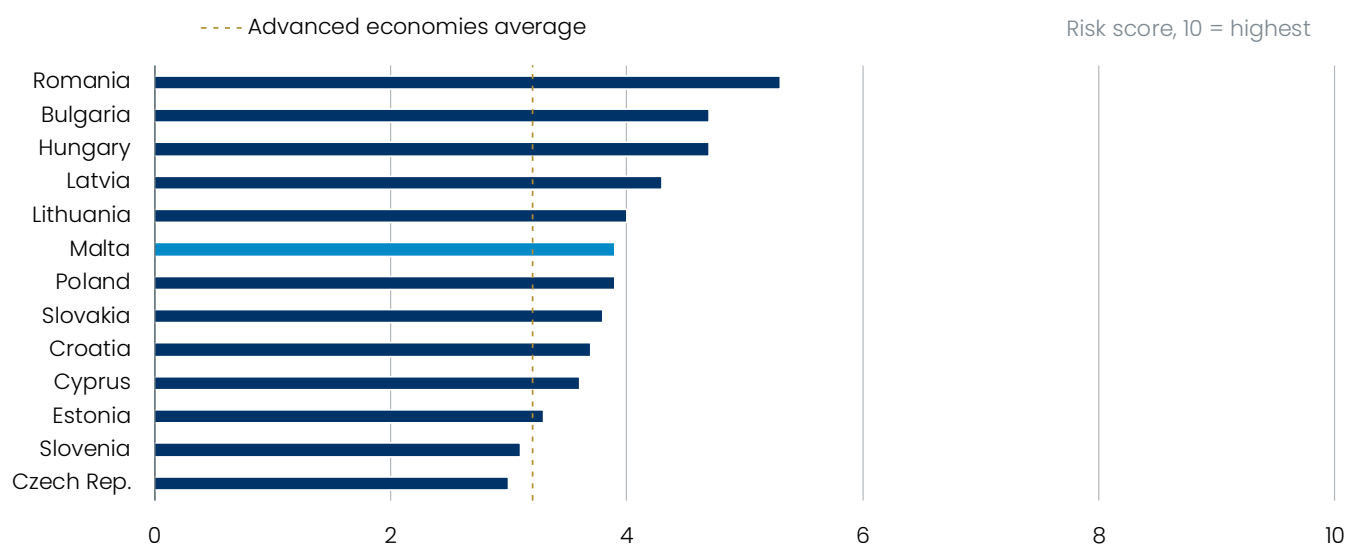
Overall risk for Malta: 3.9/10*

Malta's overall economic risk score of 3.9 has fallen by 0.2pts over the past six months. It ranks 35th out of 164 countries in our survey, but its score is higher than the advanced economies average of 3.0.

The growth of the Maltese economy has run well ahead of the Eurozone average for nearly a decade, with only a short break for a pandemic-related plunge in 2020. Malta's strong labour market supports consumer spending, and its public finances are favourable relative to the Eurozone average. Tourism remains a major growth engine.

Chart 9: Malta's risk score is higher than Advanced economies average

Economic risk: Malta vs Advanced economies average



Source: Oxford Economics

Market demand: 4.0/10

The demand risk score is 4.0, above the advanced economies average of 3.4. Malta's dependence on services isn't without risk. The UK's post-Brexit relationship with the EU is an ongoing economic threat, as a prolonged depreciation of sterling, along with a possible deterioration in the UK economy, could result in fewer British visitors, thereby lowering tourism revenue.

Market cost: 5.0/10

The market cost risk score is moderate at 5.0, but above the 2.7 average for advanced economies. Inflation remained relatively low during the 2022 energy crisis thanks to the government's decision to stick with its fixed energy prices, and this should continue until at least 2027. Nonetheless, we expect a marked acceleration in inflation over the next couple of years.

Exchange rate: 3.3/10

Under our new methodology, exchange rate risk is at 3.3, in line with that of other Eurozone countries.

The euro surged to \$1.20 in early 2026 as US tariff uncertainty and a partial shift away from US assets drove dollar weakness, but has since pulled back to around \$1.15 as those initial drivers have gradually faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at \$1.17 at end-2026 and \$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

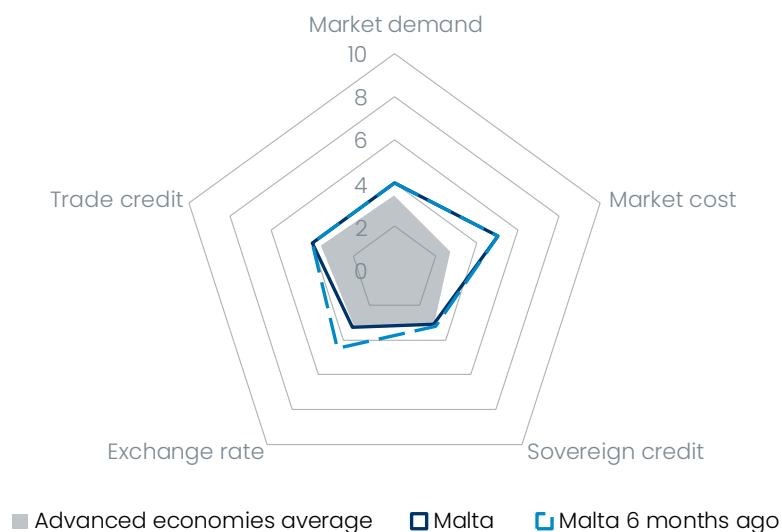
Sovereign credit: 3.1/10

The sovereign credit risk score is 3.1, slightly lower than six months ago. In our scoring system, Malta benefits from plenty of internal policy space due to having a healthy fiscal situation and low inflation for several years, and a long-term current account surplus. But external debt is still quite high relative to GDP, and we note some institutional concerns.

All three major rating agencies rate Malta as investment grade, and the latest developments have been positive. We expect credit risk to remain low, confirmed by Malta's ratings of A- from S&P, A2 from Moody's, and A+ from Fitch.

Chart 10: Malta's overall risk is in line with that of other Eurozone countries

Economic risk: Malta vs Advanced economies average



Source: Oxford Economics

Trade credit: 4.0/10

Trade credit risk – a measure of private sector repayment risk – is low at 4.0, broadly in line with the advanced economies average. Due to Malta's membership of the Eurozone, exchange rate risk will remain low, helping to minimise trade credit risk. The banking sector is well capitalised, profitable, and liquid. But given the large size of the financial sector relative to the economy, further policy action to boost banks' resilience may be needed.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).